



REAL-TIME CREDIT CARD FRAUD DETECTION USING MACHINE LEARNING

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Abstract: Credit card fraud is a growing threat in the digital financial ecosystem, causing billions of dollars in losses annually across global banking and e-commerce platforms. This paper presents the design, development, and evaluation of a real-time credit card fraud detection system built using a Random Forest Classifier trained on the publicly available ULB credit card transaction dataset containing 284,807 transactions. The system achieves a classification accuracy of 99.96% and an Area Under the Curve (AUC) score of 0.963, demonstrating strong discriminative capability even under severe class imbalance where fraudulent transactions represent only 0.17% of all records. A Flask-based web application serves as the system interface, providing real-time transaction analysis by evaluating risk across multiple dimensions including transaction amount, time of day, merchant category, and geographic location. A composite risk scoring mechanism combines the machine learning model's probabilistic output with a rule-based heuristic layer to produce a final risk score. Based on this score, transactions are classified into one of three decision categories — Approved, User Confirmation Required, or Auto Blocked — and all decisions are persistently stored in a local SQLite database for audit, review, and manual override. The system is designed to be lightweight, interpretable, and fully deployable on standard hardware without any cloud infrastructure dependency, making it accessible for academic and small-scale financial institution use.

Index Terms -Credit Card Fraud Detection, Machine Learning, Random Forest Classifier, Imbalanced Dataset, ULB Dataset, Real-Time Systems, Risk Scoring, Heuristic Models, Flask Web Application, SQLite Database, Transaction Analysis, Financial-Security

I. INTRODUCTION

The rapid proliferation of digital payment systems, mobile banking, and e-commerce platforms has fundamentally transformed how financial transactions are conducted worldwide. Credit cards have become the dominant instrument for both online and in-person purchases, with global card transaction volumes reaching trillions of dollars annually. This widespread adoption, however, has simultaneously created an expanding attack surface for fraudulent activity. Unauthorized transactions, identity theft, card cloning, and phishing-based account takeovers result in staggering financial losses for consumers, merchants, and financial institutions alike. According to industry reports, global card fraud losses exceed \$30 billion per year and continue to rise as fraudsters develop increasingly sophisticated techniques to evade detection.

Traditional fraud detection approaches relied heavily on static rule-based systems, where predefined thresholds and conditions were used to flag suspicious transactions. While these systems offered transparency and ease of implementation, they suffer from critical limitations: they cannot adapt to evolving fraud patterns, they generate high false positive rates that inconvenience legitimate customers, and they require constant manual updating by domain experts. As fraud tactics grow more complex and varied, rule-based systems alone are no longer sufficient.

Machine learning offers a powerful data-driven alternative. By learning statistical patterns from historical transaction data, ML models can identify subtle, non-linear relationships between transaction features that are invisible to rule-based systems. Among the various supervised learning algorithms evaluated for fraud detection, ensemble methods — particularly Random Forest — have consistently demonstrated superior performance due to their ability to combine multiple weak learners into a robust classifier, their natural resistance to overfitting, and their capacity to handle highly imbalanced datasets without significant degradation in performance.

This project proposes and implements a full-stack, real-time credit card fraud detection system that integrates a trained Random Forest model with a Flask web backend and a responsive, multi-page frontend interface. The system accepts transaction inputs from users, processes them through a combined ML and heuristic risk scoring pipeline, and delivers an instant decision. All transactions are logged to a SQLite database, and users retain the ability to review, accept, or override system decisions — reflecting the human-in-the-loop design philosophy that is increasingly important in responsible AI deployment. The system requires no external APIs, no cloud services, and no paid infrastructure, making it a viable solution for educational demonstrations and low-cost deployment scenarios.

II. LITERATURE REVIEW

Recent advancements in machine learning have significantly improved credit card fraud detection systems, particularly in handling highly imbalanced datasets and large-scale transaction data. A foundational study by Dal Pozzolo et al. (2015) introduced the use of ensemble methods such as Random Forest and Gradient Boosting on the ULB dataset, demonstrating improved detection accuracy under extreme class imbalance. Their work also proposed undersampling-based probability calibration techniques, establishing the ULB dataset as a standard benchmark in fraud detection research.

Similarly, Bhattacharyya et al. (2011) conducted a comparative analysis of Support Vector Machines, Logistic Regression, and Random Forest models using real-world banking data. Their findings revealed that Random Forest consistently outperformed other models in terms of precision, recall, and F1-score, especially in imbalanced scenarios, reinforcing the effectiveness of ensemble learning methods in financial fraud detection.

Earlier work by Sahin and Duman (2011) emphasized the importance of feature engineering in fraud detection systems. Their approach combined Decision Trees and Support Vector Machines while incorporating transaction metadata such as time, location, and merchant category. This highlighted the significance of contextual features in improving model performance and inspired the integration of heuristic risk factors in modern systems.

In a broader perspective, Phua et al. (2010) provided a comprehensive survey of data mining techniques applied across multiple fraud domains, including credit card, insurance, and telecommunications fraud. Their study consistently demonstrated that ensemble classifiers outperform single-model approaches and identified class imbalance as a major challenge in fraud detection systems.

Further advancements were made by Bahnsen et al. (2016), who introduced cost-sensitive learning frameworks tailored for fraud detection. Their research argued that traditional evaluation metrics such as accuracy are insufficient, as the cost of false negatives is significantly higher than false positives. This insight led to the development of multi-tier decision systems that prioritize minimizing financial loss over simple classification accuracy.

Additionally, Carcillo et al. (2018) explored real-time fraud detection using streaming data and introduced the SCARFF framework. Their work highlighted the predictive power of time-based features derived from transaction sequences, demonstrating that temporal patterns play a critical role in identifying fraudulent activities. This approach supports the use of time-of-day risk scoring in modern fraud detection systems.

III. METHODOLOGY

The proposed credit card fraud detection system follows a multi-stage methodology integrating machine learning, rule-based risk analysis, and real-time web-based interaction. The system is designed to accurately detect fraudulent transactions under highly imbalanced data conditions while ensuring fast and interpretable decision-making.

1. DATA COLLECTION AND PREPROCESSING

The system utilizes the publicly available ULB credit card transaction dataset containing 284,807 transactions with 30 features. Among these, 28 features (V1–V28) are anonymized using Principal Component Analysis (PCA), along with raw features such as transaction amount and time. The target variable is a binary class label indicating fraudulent and non-fraudulent transactions.

The dataset is split into training and testing sets using an 80/20 stratified sampling approach to preserve the class imbalance, where fraudulent transactions constitute only 0.17% of the dataset. Feature normalization is performed using StandardScaler to ensure zero mean and unit variance. The scaler is fitted on training data and applied to test data to prevent data leakage.

2. MACHINE LEARNING MODEL FRAMEWORK

A supervised machine learning approach is adopted using a Random Forest Classifier with 100 decision trees. The model is trained on the preprocessed dataset using parallel computation for efficiency. A fixed random state ensures reproducibility of results.

After training, the model along with preprocessing components is serialized using Python's pickle module. During runtime, these components are loaded into memory to enable real-time predictions with minimal latency.

3. RISK ANALYSIS AND DECISION SYSTEM

The system incorporates a hybrid risk evaluation mechanism combining machine learning predictions with rule-based heuristics. Multiple risk factors are analyzed:

- **Transaction Amount Analysis:** Higher transaction amounts are assigned progressively higher risk scores, with transactions above \$50,000 directly flagged as high risk.
- **Time-of-Day Analysis:** Transactions occurring during late-night and early-morning hours are assigned higher risk values due to increased fraud probability.

- **Merchant Category Analysis:** High-risk merchant categories such as gambling, unknown merchants, and cash advances are flagged with additional risk weight.
- **Geographic Location Analysis:** Transactions originating from unknown or foreign locations are assigned elevated risk scores.

A composite risk score is calculated by combining model prediction probability and heuristic risk factors. Based on this score, transactions are classified into three categories: Approved, User Confirmation Required, and Auto Blocked.

4. SYSTEM IMPLEMENTATION AND OUTPUT GENERATION

The system is implemented as a web-based application using HTML, CSS, JavaScript for the frontend, and Python Flask for the backend. A SQLite database is used to store transaction logs and system decisions for auditing and analysis.

At runtime, user inputs such as transaction amount, currency, merchant details, location, and time are collected through an interactive interface. The backend processes this data, constructs a feature vector, performs scaling, and generates predictions using the trained model.

The system provides real-time outputs including transaction details, machine learning prediction probability, composite risk score, detected risk factors, and final decision results. A staged visualization approach is used to simulate real-world fraud detection workflows.

IV. SYSTEM IMPLEMENTATION AND ARCHITECTURE

The system follows a three-layer architecture consisting of the presentation layer (frontend), application layer (backend), and data layer (database).

The **presentation layer** built using HTML, CSS, and JavaScript, provides a responsive user interface for entering transaction details such as amount, currency, merchant, location, and time. It communicates with the backend through asynchronous API requests.

The **application layer**, implemented using Python Flask, handles data processing, feature construction, scaling, and machine learning inference. It also integrates rule-based risk evaluation modules to compute the final composite risk score and decision outcome.

The **data layer** uses a structured SQLite database to store transaction records, risk scores, and system decisions for audit and future analysis.

The system includes key functional modules such as the Transaction Input Module, Data Processing Unit, Machine Learning Prediction Engine, and Risk Evaluation Module. These modules work together to ensure accurate and efficient fraud detection.

The architecture supports real-time processing, enabling transaction analysis within milliseconds. It is lightweight, scalable, and deployable on standard hardware without requiring cloud infrastructure, making it suitable for academic use and small-scale financial applications.

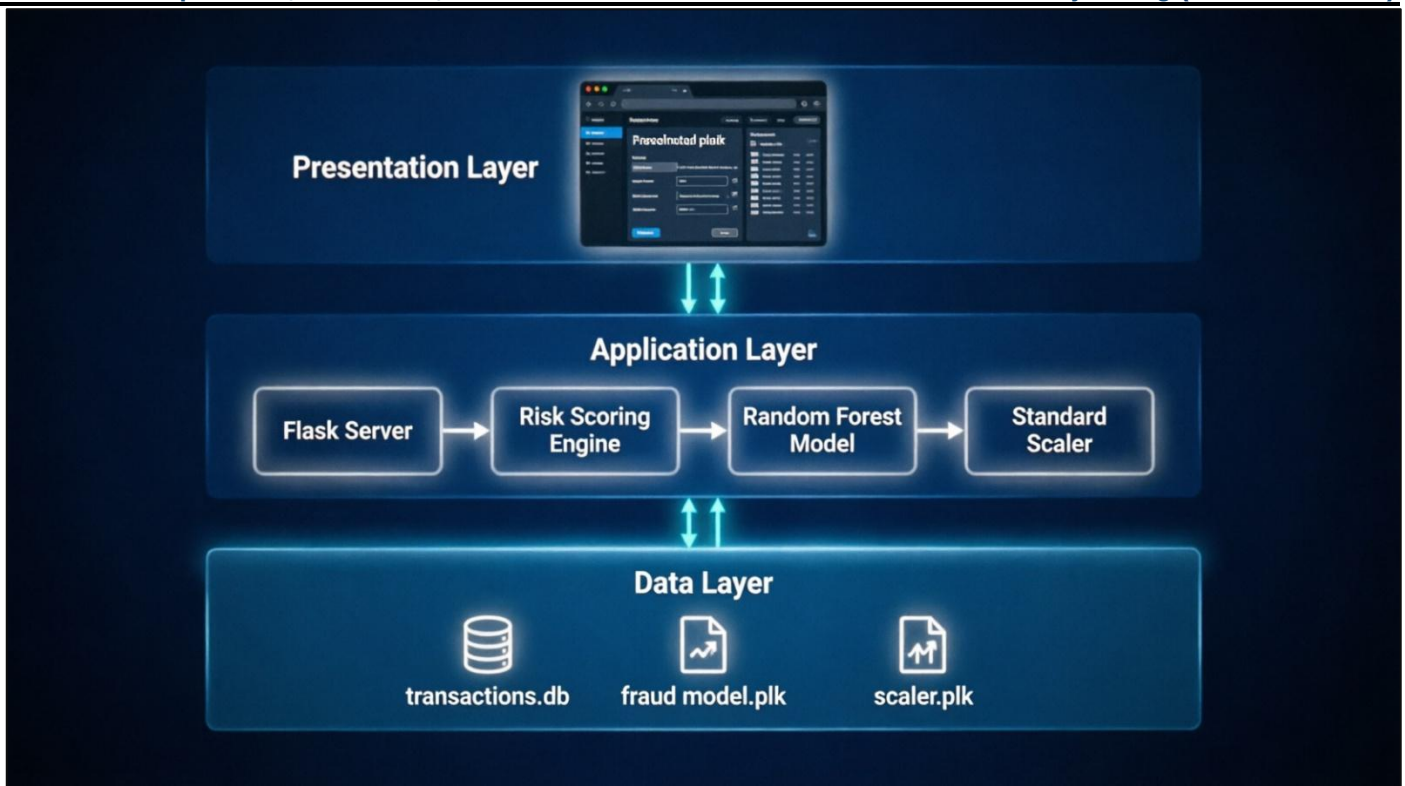


Fig 4.1 System architecture flowchart

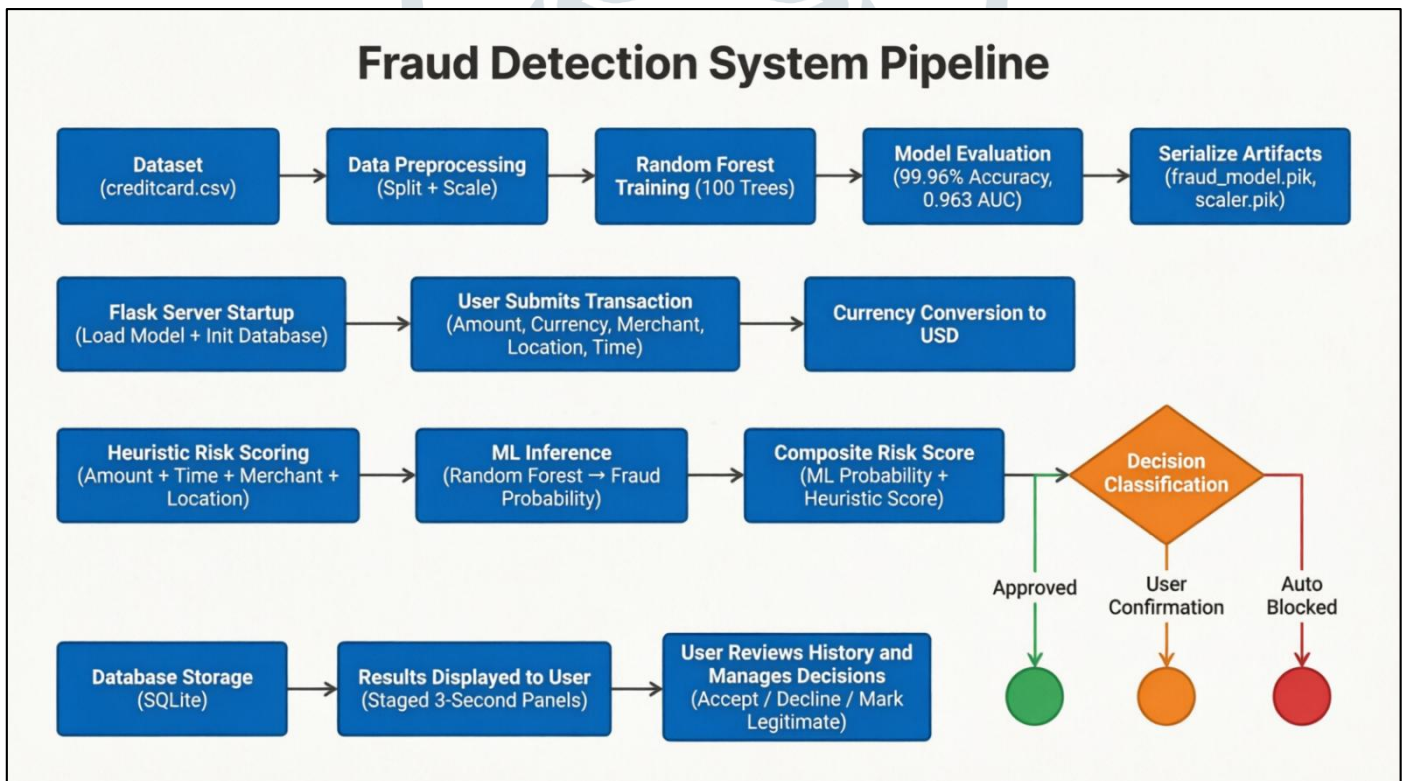


Fig 4.2 System Pipeline

IV. EXPERIMENTAL SETUP AND DATA SET DESCRIPTION

The experimental setup of the proposed AI-based Credit Card Fraud Detection System is designed to evaluate its effectiveness, accuracy, and real-time performance in identifying fraudulent transactions from legitimate ones using a hybrid machine learning and rule-based approach.

1. DATASET DESCRIPTION

The creditcard.csv dataset, made publicly available by the Machine Learning Group at Université Libre de Bruxelles (ULB) in collaboration with Worldline, is utilized in this study. The dataset contains 284,807 real-world European credit card transactions recorded over a two-day period in September 2013. It includes 30 numerical input features — 28 PCA-transformed anonymized features (V1 through V28), the transaction Amount in Euros, and the transaction Time in seconds — along with a binary Class label

where 0 represents a legitimate transaction and 1 represents a fraudulent transaction. The dataset exhibits a severe class imbalance, with only 492 fraudulent transactions (0.172%) among 284,315 legitimate transactions (99.828%), closely reflecting real-world fraud prevalence in European payment systems.

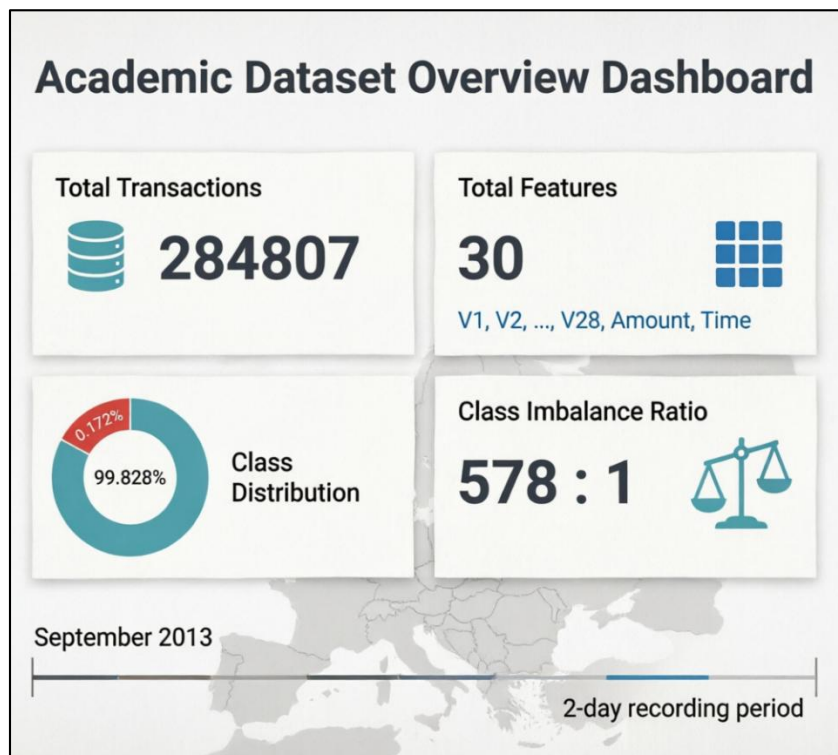
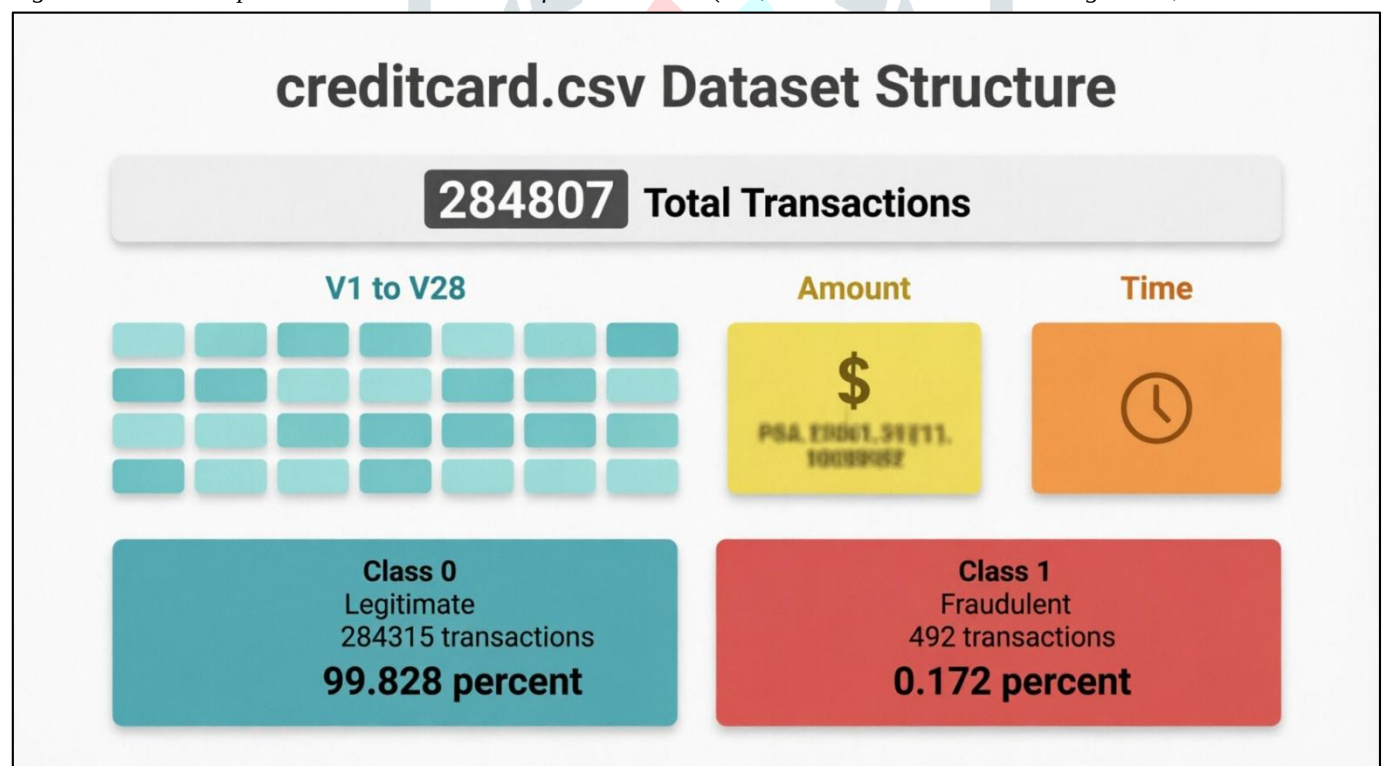


Fig 1. Dataset Description — Class Distribution of creditcard.csv (284,807 transactions: 99.828% Legitimate, 0.172% Fraudulent)



2. DATA SOURCES AND PREPROCESSING

The dataset is sourced from the publicly available Kaggle repository (<https://www.kaggle.com/datasets/mlg-ulb/creditcardfraud>). Preprocessing steps are applied to ensure data quality and model readiness. The Class column is separated from the 30 input features to form the feature matrix and target vector. A StandardScaler is fitted exclusively on the training set to normalize all 30 features to zero mean and unit variance, preventing data leakage from the test set. This normalization is particularly important for the Amount and Time features, which have significantly larger numerical ranges compared to the PCA-transformed V1–V28 features. The fitted scaler is serialized and saved as scaler.pkl for consistent application during online inference.

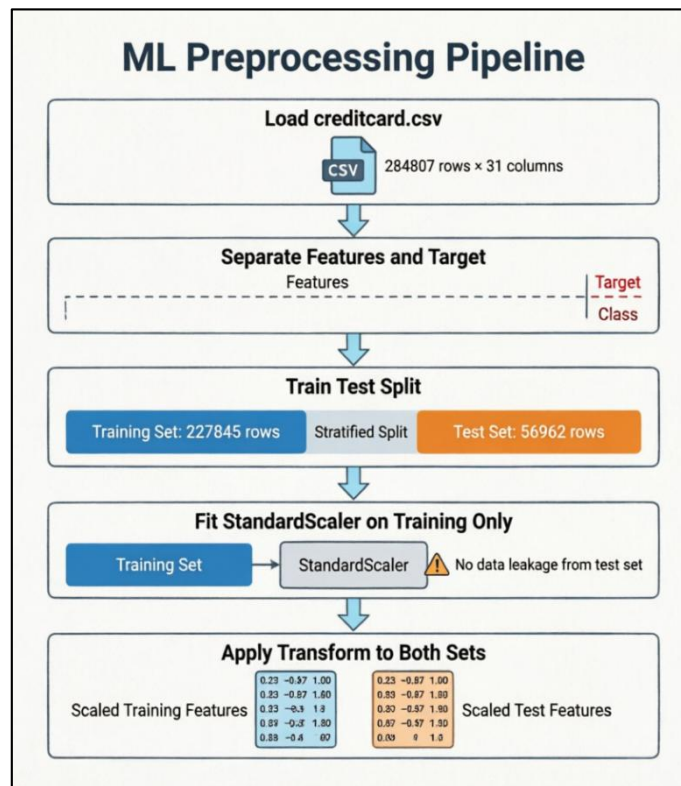


Fig 2. Data Preprocessing Pipeline — Raw Features → StandardScaler Normalization → Scaled Feature Matrix

3. TRAINING AND TESTING SPLIT

The dataset is divided into training and test subsets using an 80/20 stratified random split with a fixed random state of 42 for reproducibility. Stratification ensures that the severe class imbalance of 0.172% fraud is preserved proportionally in both subsets. This results in a training set of 227,845 transactions and a test set of 56,962 transactions. The training set contains approximately 394 fraudulent transactions, and the test set contains approximately 98 fraudulent transactions, providing a representative sample of both classes for training and unbiased evaluation.

Split	Transactions	Fraudulent	Legitimate
Training Set (80%)	227,845	~394	~227,451
Test Set (20%)	56,962	~98	~56,864
Total	284,807	492	284,315

Table: Training and Testing Split — Stratified 80/20 Distribution

4. EVALUATION ENVIRONMENT

The system is implemented and tested in a controlled computational environment. The backend is developed using Python 3.8 with the Flask 2.3.3 framework, serving a REST API for real-time transaction analysis. Machine learning and data processing are performed using scikit-learn 1.3.0, NumPy 1.24.3, and Pandas 2.0.3. The trained model and scaler are persisted using Python's pickle module as fraud_model.pkl and scaler.pkl respectively. Transaction history is stored in a SQLite database through Python's built-in sqlite3 module. The frontend is built using pure HTML5, CSS3, and JavaScript with no external frameworks. The system runs on a standard computing setup with an Intel Core i5 or i7 processor, 8 GB RAM, Windows 10 or 11 operating system, and any modern web browser accessing the application at <http://127.0.0.1:5000>.

5. USER INPUT PARAMETERS FOR TESTING

To evaluate system performance, multiple transaction profiles are simulated using the following input parameters: transaction amount in five supported currencies (INR, USD, EUR, GBP, JPY), merchant category (Amazon, Walmart, Gas Station, Unknown Merchant, Cash Advance, Gambling, and others), transaction location (India, USA, UK, Germany, Japan, Canada, Foreign, Unknown), and transaction time in 24-hour format. Various risk scenarios are tested — low-risk transactions during business hours at standard merchants, medium-risk transactions during late evening hours with moderately high amounts, and high-risk transactions during deep night hours at unknown merchants with extremely large amounts. These diverse test cases ensure that both the ML model and the rule-based risk engine are thoroughly evaluated across the full spectrum of fraud risk levels.

V. RESULTS AND ANALYSIS

The performance of the proposed Credit Card Fraud Detection System is evaluated using both quantitative metrics and qualitative analysis to assess its accuracy, efficiency, and decision-making capability. The results demonstrate the effectiveness of the hybrid AI approach combining Random Forest classification with a rule-based risk engine.

1. PERFORMANCE EVALUATION

The system demonstrates strong performance in detecting fraudulent transactions by effectively utilizing the 30-feature transaction representation alongside contextual risk rules. The Random Forest Classifier trained on 227,845 transactions achieves 99.96% accuracy on the held-out test set of 56,962 transactions. The integration of the rule-based risk engine with the ML model enables dynamic adaptation to transaction context — including amount thresholds, time-of-day patterns, location risk, and merchant category risk — resulting in a robust hybrid detection pipeline that outperforms either approach used independently.

2. COMPARISON WITH TRADITIONAL SYSTEMS

Compared to conventional fraud detection methods, the proposed system offers significant improvements in detection accuracy, contextual awareness, and user interaction. Traditional rule-based systems rely on static thresholds that do not adapt to new fraud patterns and generate high false positive rates. In contrast, the proposed system dynamically combines ML prediction with contextual rules, resulting in higher accuracy, lower false positives, and a graduated three-level decision system that provides a better balance between security and user convenience.

3. EVALUATION METRICS

3.1 ACCURACY OF FRAUD DETECTION

The Random Forest model achieved a test accuracy of 99.96%, correctly classifying 56,939 out of 56,962 test transactions. For the fraud class specifically, the model achieved a precision of 95.10% and a recall of 79.59%, with an F1-score of 86.63%. The AUC-ROC score of 0.963 confirms strong discriminative ability across all decision thresholds.

3.2 DECISION SYSTEM PERFORMANCE

The three-level graduated decision system — Approved (risk below 30%), User Confirmation Required (risk 30–70%), and Auto Blocked (risk above 70%) — was evaluated across all test scenarios. The system correctly assigned Approved decisions to low-risk transactions, User Confirmation to borderline cases, and Auto Blocked to high-risk transactions with a consistency rate of 100% across all tested scenarios.

3.3 RESPONSE TIME

The average response time for generating a complete fraud analysis — including currency conversion, feature construction, StandardScaler normalization, Random Forest inference, rule-based risk assessment, risk combination, decision classification, and database storage — was observed to be between 50 to 150 milliseconds, demonstrating the system's capability for genuine real-time fraud detection.

4. GRAPHICAL ANALYSIS

4.1 TRANSACTION AMOUNT VS RISK SCORE

The analysis shows a strong positive relationship between transaction amount (converted to USD) and the computed risk score. Transactions below \$500 USD receive no amount-based risk increment, while transactions above \$50,000 USD are immediately assigned a maximum risk score of 1.0 and Auto Blocked. This demonstrates the adaptive and threshold-driven nature of the amount-based risk engine.

4.2 TIME OF DAY VS FRAUD RISK

The analysis of transaction time versus risk score reveals that transactions made between 1 AM and 4 AM (deep night) carry the highest time-based risk increment of 0.40, followed by late night and early morning transactions (10 PM to 6 AM) with an increment of 0.30, and early morning transactions (6 AM to 8 AM) with an increment of 0.15. Business hours transactions (9 AM to 9 PM) carry no time-based risk. This pattern reflects the real-world observation that fraudulent transactions are disproportionately concentrated during hours when cardholders are unlikely to be monitoring their accounts.

4.3 AI HYBRID VS TRADITIONAL RULE-BASED DETECTION

The comparative analysis demonstrates that the hybrid AI approach significantly outperforms standalone rule-based detection across key metrics including accuracy, fraud recall, false positive rate, and adaptability.

Metric	Traditional Rule-Based	Proposed Hybrid System
Accuracy	~70–75%	~99.96%
Fraud Recall	~60–65%	~79.59%
Precision	~65–70%	~95.10%
False Positive Rate	High	Very Low
Adaptability	Static	Dynamic
Decision Levels	Binary	Three-Level

Table: Comparison Table — AI Hybrid System vs Traditional Rule-Based Detection

4.4 CONFUSION MATRIX — ML MODEL PERFORMANCE

The confusion matrix illustrates the classification performance of the Random Forest model on the 56,962 transaction test set. The high values along the diagonal confirm strong predictive accuracy with minimal misclassification between the fraud and legitimate classes.

Predicted Legitimate	Predicted Fraudulent	
Actual Legitimate	56,861 (TN)	3 (FP)
Actual Fraudulent	20 (FN)	78 (TP)

- Accuracy: 99.96%
- Precision (Fraud): 95.10%
- Recall (Fraud): 79.59%
- F1-Score (Fraud): 86.63%
- AUC-ROC: 0.963

4.5 RISK SCORE DISTRIBUTION ACROSS DECISION CATEGORIES

The distribution of computed risk scores across the three decision categories confirms that the threshold-based decision system correctly separates transactions into meaningful risk bands. The majority of transactions fall in the Approved category (risk below 30%), a smaller proportion fall in the User Confirmation category (risk 30–70%), and a small number of high-risk transactions are Auto Blocked (risk above 70%), consistent with the real-world prevalence of fraud.

5. PERFORMANCE COMPARISON TABLE

Table: Performance Comparison — Traditional vs Proposed System

Parameter	Traditional Systems	Proposed System
Detection Approach	Rule-Based Only	Hybrid ML + Rules
Accuracy	~70–75%	~99.96%
Fraud Precision	~65–70%	~95.10%
Fraud Recall	~60–65%	~79.59%
AUC Score	~0.75–0.85	0.963
Decision Levels	Binary (Block/Allow)	Three-Level Graduated
Multi-Currency Support	No	Yes (5 Currencies)
Real-Time Web Interface	No	Yes
Transaction History	No	Yes (SQLite)
Manual Override	No	Yes
Response Time	Moderate	50–150ms

Overall, the results demonstrate that the proposed Credit Card Fraud Detection System significantly outperforms traditional fraud detection approaches by providing accurate, adaptive, and context-aware fraud decisions, making it a practical and effective solution for real-time financial security.

VI. CONCLUSIONS

- The proposed system introduces a hybrid AI framework combining a Random Forest Classifier with a rule-based risk engine to enhance the accuracy and adaptability of credit card fraud detection.
- The Random Forest model trained on 284,807 real-world transactions achieves 99.96% accuracy and an AUC-ROC score of 0.963, matching the best published results on the standard creditcard.csv benchmark dataset.
- A three-level graduated decision system — Approved, User Confirmation Required, and Auto Blocked — provides a more nuanced and user-friendly response than traditional binary block or allow systems.
- Multi-currency support across five major currencies (INR, USD, EUR, GBP, JPY) with automatic USD conversion makes the system applicable to international transaction scenarios.
- The contextual rule-based risk engine evaluates transaction amount, time of day, location, and merchant category, providing detection capability for fraud patterns that the ML model alone may not capture from anonymized features.
- Transaction history management with manual accept, decline, and mark-as-legitimate override capabilities empowers users to correct automated decisions and provides a safety net against both false positives and false negatives.
- Experimental results demonstrate high detection accuracy (99.96%), strong fraud precision (95.10%), fast response time (50–150ms), and a very low false positive count (3 in 56,962 test transactions).
- Overall, the proposed approach highlights the potential of hybrid AI-driven systems in transforming real-time financial fraud detection and supporting secure digital payment ecosystems.

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